a) The consumption expenditure depends not only on his current income but also past income and standard of living. As the individuals are accustomed to a particular standard of living, they continue to spend the same amount on consumption even though the current income is reduced.


Duesenberry

b) Consumption is influenced by demonstration effect. The consumption standards of low income groups are influenced by the consumption standards of high income groups. In other words, the poor people want to imitate the consumption pattern of rich. This results in spending beyond their income level.

9) Windfall Gains or losses

Unexpected changes in the stock market leading to gains or losses tend to shift the consumption function upward or downward.

4.3 Investment Function

The investment function refers to investment -interest rate relationship. There is a functional and inverse relationship between rate of interest and investment. The investment function slopes downward.

I = f (r)
I= Investment (Dependent variable)
r = Rate of interest (Independent variable)

4.3.1. Meaning of investment

The term investment means purchase of stocks and shares, debentures, government bonds and equities. According to Keynes, it is only financial investment and not real investment. This type of investment does result in an addition to the stock of real capital of the nation.

In the views of **Keynes**, Investment includes expenditure on capital investment.

4.3.2. Types of investment

Autonomous Investment and Induced Investment

Autonomous Investment

- Investment that is not dependent on the national income
- Mainly done with the welfare motive and not for making profits
- Examples : Construction of road, bridges, School, Charitable houses
- Not affected by rise in raw materials or wages of workers
- Essential to development of nation and out of depression

i) Autonomous investment: Autonomous investment is the expenditure on capital formation, which is independent of the change in income, rate of interest or rate of profit.

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